

THE GREEN BARRIER

THE EU'S CARBON BORDER ADJUSTMENT MECHANISM COULD MAKE INDIAN EXPORTS UNCOMPETITIVE, UNLESS EFFORTS TO REDUCE CARBON EMISSIONS ARE ACCELERATED

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FOR JINDAL STAINLESS, exports constitute approximately 15% of sales volume; about 40% goes to Europe. While Europe presents a significant growth opportunity for the stainless steel major, the European Union's Carbon Border Adjustment Mechanism (CBAM) could have posed a hurdle. But the company's focus on sustainability and reducing carbon emissions has helped it stay competitive. "CBAM's transition period, starting from October 1, 2023, imposes extensive data compliance requirements on Indian exporters," says Abhyuday Jindal, MD of Jindal Stainless. "While CBAM won't immediately affect our business financially, the financial implications will begin on January 1, 2026."

CBAM, in its transition period till December 2025, mandates that importers of

goods in the scope of the new rules will have to report greenhouse gas (GHG) emissions embedded in their imports (direct and indirect). But more on that later.

Jindal Stainless isn't the only Indian manufacturer to be impacted by CBAM. While Tata Steel's, exports to Europe is only about 1-2% of overall India production, "the company is already reporting its emissions using the WSA (World Steel Association) and GHG methodologies in its integrated report and has completed life cycle analyses for its major steelmaking sites", says Rajiv Mangal, Vice President (Safety, Health & Sustainability), Tata Steel.

Other manufacturers across sectors such as iron, aluminium, etc., that export to the EU are also taking steps to comply with CBAM. But what is CBAM?